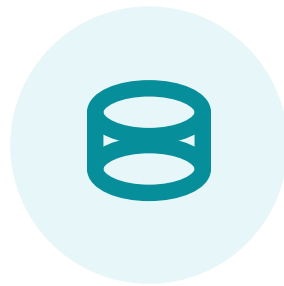


INVESTOR GUIDE

The Buy-to-Let Conveyancing Guide



Conveyancing, Stamp Duty and due diligence for landlords

Buying an investment property has its own rules — a higher Stamp Duty bill, extra due diligence, and pitfalls that catch out first-time landlords. This guide walks through the conveyancing, the 5% surcharge, and the checks that protect your investment.

Buy-to-let is a different game

Conveyancing for a buy-to-let purchase follows the same broad path as buying a home — instruct, search, enquire, exchange, complete — but with a bigger tax bill and a layer of investor due diligence on top.

Whether you're buying your first rental or adding to a portfolio, the legal process is where risks to your investment surface: a problematic lease, an unsafe property, a restriction on letting. This guide covers the costs and the checks that matter.

The 5% Stamp Duty surcharge

The biggest financial difference with buy-to-let is Stamp Duty. Because the property is an additional residential property, you pay a 5% surcharge on top of the standard rates — applied to the whole price, in every band. The surcharge has been 5% since 31 October 2024.

That makes the standard bands look like this for an additional property:

Portion of price	Additional-property rate
Up to £125,000	5%
£125,001 to £250,000	7%
£250,001 to £925,000	10%
£925,001 to £1.5 million	15%
Above £1.5 million	17%

What that means in pounds

Price	Standard buyer	Buy-to-let / additional
£150,000	£500	£8,000
£200,000	£1,500	£11,500
£250,000	£2,500	£15,000
£350,000	£7,500	£25,000
£500,000	£15,000	£40,000

Worked example

On a £200,000 buy-to-let: a standard buyer pays £1,500, but as an additional property you pay £11,500 — the £1,500 plus 5% of the whole £200,000 (£10,000). Always model the surcharge into your yield before you offer; it is often the single largest upfront cost.

Buying through a company?

Many landlords buy via a limited company for tax reasons. Companies pay the same 5% surcharge, and lenders treat company purchases differently. The conveyancing also differs slightly — your conveyancer will act for the company and its lender. Take tax advice before deciding how to hold the property.

The buy-to-let conveyancing timeline

Expect a similar timeframe to a standard purchase — around 8 to 12 weeks for a freehold with no chain — with extra time if the property is leasehold or tenanted.

1**Instruct and verify****WEEK 1**

Instruct your conveyancer, complete ID and source-of-funds checks, and confirm whether you're buying personally or through a company.

2**Searches & enquiries****WEEKS 2-6**

Standard searches, plus extra enquiries on tenancies, licensing, and (if leasehold) the right to let and the management pack.

3**Mortgage & valuation****WEEKS 3-6**

Your BTL lender values the property and assesses the expected rent. Buy-to-let mortgage conditions can be stricter than residential ones.

4**Report, exchange & complete****WEEKS 7-12**

Your conveyancer reports on title, you exchange and pay the deposit, then complete — taking on any existing tenancy from the seller.

Due diligence for landlords

This is where good conveyancing protects your investment. Beyond the standard checks, make sure these are covered before you exchange.

Your investor checklist

- ☐ EPC rating of at least E — properties below this generally cannot legally be let (MEES rules)
- ☐ Whether the property is sold with vacant possession or an existing tenant in situ
- ☐ If tenanted: the tenancy agreement, deposit protection, and rent record
- ☐ Selective or HMO licensing requirements in the local authority area
- ☐ For leasehold: that the lease permits letting, and any subletting consent or fee
- ☐ Fire, gas and electrical safety obligations you'll inherit as landlord

Tenant in situ

Buying a property with a tenant already in place can mean instant rental income — but you inherit that tenancy exactly as it stands, including the rent, the deposit arrangements and any disputes. Your conveyancer should obtain and review the full tenancy paperwork before you commit.

Personal name or limited company?

One of the first decisions a landlord makes is whether to buy in their own name or through a limited company — often a special purpose vehicle (SPV). It's primarily a tax question, but it shapes the mortgage and the conveyancing too.

	Personal name	Limited company
Tax on rent	Income tax on profits	Corporation tax; interest fully deductible
Mortgages	Wider choice, often cheaper	Fewer lenders, usually higher rates
Stamp Duty	5% surcharge applies	5% surcharge applies — no saving
Conveyancing	Standard process	Conveyancer acts for the company and lender
Best suited to	Single properties, lower-rate taxpayers	Portfolios, higher-rate taxpayers

Take advice first

There's no universally right answer — it depends on your tax position, how many properties you plan to hold, and your long-term plans. Speak to an accountant before you decide, and your conveyancer can then act accordingly.

Your obligations as a landlord

Conveyancing gets you to completion — but being a landlord brings continuing legal duties. Knowing them before you buy helps you budget accurately and avoid penalties later.

The core compliance checklist

- ☐ Annual gas safety certificate (CP12) wherever there are gas appliances
- ☐ An Electrical Installation Condition Report (EICR) at least every five years
- ☐ A valid EPC of band E or above — below it, the property generally can't be let
- ☐ Protect the tenant's deposit in a government-approved scheme within 30 days
- ☐ Carry out Right to Rent immigration checks on adult occupiers
- ☐ Hold any selective or HMO licence your local authority requires
- ☐ Meet smoke and carbon-monoxide alarm rules and provide the How to Rent guide

Budget for compliance

Safety certificates, licensing and periodic inspections are ongoing costs of being a landlord. Factor them into your yield alongside the mortgage, ground rent and any service charge — modest individually, but they add up.



Common pitfalls

- Underestimating Stamp Duty — the 5% surcharge can turn a marginal yield negative if it's an afterthought.
- Assuming you can let a leasehold flat freely — some leases restrict or prohibit subletting.
- Missing licensing — letting without a required selective or HMO licence can mean heavy penalties.
- Ignoring the EPC — a sub-E rating can make a property unlettable until you spend on improvements.
- Overlooking ground rent and service charge — they eat into yield on leasehold investments.

£ What it costs

Buy-to-let conveyancing costs a little more than a standard purchase because of the extra checks — and considerably more once the Stamp Duty surcharge is included.

Cost	Standard purchase	Buy-to-let
Legal fee	£900–£1,500 +VAT	£950–£1,700 +VAT
Searches & disbursements	£300–£500	£300–£550
Stamp Duty	Standard rates	Standard + 5% surcharge
Extra enquiries / company	—	May add a modest supplement

Build the full number before you offer

Your true acquisition cost is price + Stamp Duty (with surcharge) + legal fees + lender fees. Modelling all of it before you offer is what separates a confident investor from a surprised one.

Common questions

Can I avoid the 5% surcharge?

Only in specific circumstances — for example, if it genuinely replaces your sole main residence. For a true additional property or buy-to-let, the surcharge applies. Always take tax advice for your situation.

Do I need a solicitor for a buy-to-let?

Yes — and arguably more so than for a home, because of the extra due diligence on tenancies, licensing and leases. The conveyancing is where investment risks are found before they become your problem.

Is buying through a company worth it?

It depends entirely on your tax position and plans. It can be efficient for higher-rate taxpayers building a portfolio, but it adds cost and complexity. Speak to an accountant before deciding — then your conveyancer can act accordingly.

Investing in property?

Get a fixed, itemised buy-to-let conveyancing quote with a clear Stamp Duty figure including the surcharge — reviewed before it reaches you, with no surprises.

conveyquote.uk